Session 1: Monetary Policy and Financial Markets

Background: Artificial intelligence (AI) is already impacting monetary policymaking and presenting risks to financial stability. In addition, the futuristic scenarios for AI could fundamentally alter benchmarks around which monetary policy is calibrated (including the neutral rate of interest) and alter the monetary transmission process. Cyber-attacks and correlated algorithmic trades could trigger novel financial crises. The consequences of all of this will vary significantly across economies leading AI development and the rest-of-the-world. A formidable challenge for central bankers is navigating the disjuncture between the present financial enthusiasm for AI and the uncertain future economic order that enthusiasm presupposes.

Lead speakers:

Andrew Bailey, Governor of the Bank of England and Chair of the Financial Stability Board

Ben Bernanke, Distinguished Fellow, The Brookings Institution; former Chair of the Federal Reserve Board of Governors

Stijn Van Nieuwerburgh, Earle W. Kazis and Benjamin Schore Professor of Real Estate and Professor of Finance at Columbia University

Focus: The discussions would focus on the following questions[1]:
(1) What factors are materially relevant to the likelihood and severity of an AI-driven financial market correction?

- Through what channels could a correction spread across the financial system?
- Would the existing central banking playbook be sufficient to address such an event, or might the nature of the underlying risks require a different policy response?

(2) What challenges will central banks face globally in navigating the transition between AI buildout financing and longer-term economic consequences?
(3) How should the monetary policy toolkit be redesigned in the age of transformative AI?

Outcomes: (1) A clearer understanding of the near-term financial risks that AI could impose on capital markets and the broader financial system. (2) A shared view, even if caveated because of high uncertainty, of the consequences of AI for monetary policy and financial stability in the near and medium-term.

[1] The questions are illustrative and intended to help speakers and participants frame the discussion; they are not exhaustive.